

CASH FLOWS FROM OPERATING ACTIVITIES

Question 1

Willow Ltd had the following information for the year ending 30 June 2026:

- Sales revenue: \$420,000 (of which \$360,000 were credit sales)
- Opening accounts receivable: \$95,000
- Closing accounts receivable: \$110,000
- No bad debts, discounts, or sales returns

Calculate the cash actually received from customers during the year. Show all workings.

Question 2

Oakwood Ltd reported the following for the year ending 30 June 2026:

- Cost of goods sold: \$580,000
- Opening inventory: \$72,000
- Closing inventory: \$65,000
- Opening accounts payable: \$98,000
- Closing accounts payable: \$105,000

Calculate the cash paid to trade creditors during the year. Show all workings.

Question 3

Pine Ltd had the following salary-related balances for the year ending 30 June 2026:

- Salaries expense: \$295,000
- Opening accrued salaries: \$18,000
- Closing accrued salaries: \$22,000

Calculate the actual cash paid to employees during the year. Show all workings.

Question 4

Maple Ltd recorded the following for insurance during the year ending 30 June 2026:

- Insurance expense: \$48,000
- Opening prepaid insurance: \$12,000
- Closing prepaid insurance: \$9,000

Calculate the cash paid for insurance during the year. Show all workings.

Question 5

Birch Ltd had total sales of \$680,000, of which \$550,000 were on credit. The accounts receivable balance decreased from \$142,000 at the beginning of the year to \$128,000 at the end. There were no bad debts or discounts allowed.

Calculate the cash received from customers. Show all workings.

Question 6

Cedar Ltd reported:

- Cost of goods sold: \$1,050,000
- Opening inventory: \$180,000
- Closing inventory: \$195,000
- Opening accounts payable: \$165,000
- Closing accounts payable: \$152,000

Calculate the cash paid to suppliers during the year. Show all workings.

Question 7

Elm Ltd had the following electricity expense items for the year ending 30 June 2026:

- Electricity expense: \$36,000
- Opening accrued electricity: \$4,200
- Closing accrued electricity: \$3,800

Calculate the cash paid for electricity during the year. Show all workings.

Question 8

Ash Ltd recorded rent expense of \$180,000. Prepaid rent was \$25,000 at the start of the year and \$30,000 at the end of the year.

Calculate the actual cash paid for rent during the year. Show all workings.
